TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Town Hall (July 13, 2026) & Board Meeting (July 15, 2026)

EXECUTIVE SUMMARY

The July 2026 meetings were operationally productive and substantively revealing — marked by the formal presentation of C2RL Engineering's Kahite pump station proposal, a clean audit opinion on the 2025 financials, a detailed WSIAF refund implementation plan, and continued strong financial performance. C2RL's Richard Yarborough delivered a technically candid assessment that reframes the Kahite sewer problem as fundamentally one of inflow through aging residential tanks rather than inadequate pumping capacity, recommending a station upgrade at approximately $428,000 — a figure the board repeatedly contrasted with the prior TAP estimate of $5 million. The 2025 audited financials received a clean opinion and were accepted 6-0 (one member absent), with auditor Todd Harms walking through new disclosures including the WSIAF refund commitment, the TBOUR legislation, and the reserve restructuring. Claude Thorn presented a comprehensive WSIAF refund plan that addresses many of the structural gaps identified in last month's report — a dedicated bank account has been established, a neighborhood-by-neighborhood processing sequence is planned, and an unclaimed funds procedure aligned with Tennessee law has been defined. However, two issues dominated the public forums: the "Liberty Tree" memorial markers installed outside the Yacht Club without clear ACC approval, and the cease-and-desist letters sent to residents who distributed the Objective Observer reports. Both issues generated pointed and substantive community commentary that the board largely deferred rather than resolved. Board President Lackey also bypassed PSAC and FAC on the C2RL engineering vote, continuing a pattern now documented across eight consecutive months.

GENUINE POSITIVES

- **The 2025 audit received a clean opinion with no material misstatements identified.** Auditor Todd Harms of C&J walked through the draft financials via videoconference, highlighting new disclosures including the WSIAF refund commitment (~$4.3M), the TBOUR legislation as a subsequent event, and the reserve restructuring. His explicit statement that "the financial statements from the prior year are correct" because they reflected the funding policy adopted by that board provides important context for the ongoing water/sewer accounting debate. Ed Grollemond confirmed the Audit Committee had voted to approve. [Board Meeting ~10:40–23:25]

- **C2RL's Kahite presentation was technically substantive and refreshingly direct.** Richard Yarborough's explanation of why the system produces odors ("you're pumping septic tank effluent... it's some of the nastiest stuff you can send to a wastewater plant") and why the tanks leak ("they're plastic and FRP, they are not very well sealed... your flows follow the rainfall just like this") provided the community with its clearest technical understanding of the root cause. His recommendation to replace aging 750- and 1,000-gallon residential tanks over a 10-year period addresses the I&I source rather than just the symptoms. [Board Meeting ~23:38–1:00:42]
- **The odor control technology presentation was specific, measurable, and promising.** Alex Tweel's explanation of the Indusco drum scrubber system — proprietary media with 2-3 year replacement cycles, breakthrough detection technology, SCADA integration capability, and over 99% hydrogen sulfide reduction — was technically detailed and directly responsive to community complaints. Joel Reed's follow-up about retrofitting existing stations before full upgrades was a practical insight that could accelerate relief. [Board Meeting ~34:08–43:42]
- **Claude Thorn's WSIAF refund plan addresses most structural gaps from last month.** The plan includes: no refund request required (refunds processed automatically); a dedicated bank account already funded at approximately $4.3M from water/sewer reserves; refunds to the person who paid (not necessarily the current owner); a neighborhood-by-neighborhood processing sequence; credit for current residents, check for former; outstanding balances offset before refund; Tennessee unclaimed funds compliance with June 30, 2027 deadline; and a waiver form for those who wish to donate their refund. [Town Hall ~31:40–58:39]
- **Financial performance remains exceptionally strong.** Through June, reserve contributions totaled $6.1M against a budget of $2.7M (126% favorable). Amenity subsidies are 50% better than budget and 46% better than the prior year. Golf has logged over 58,000 rounds through June, 11% above budget. Wages and benefits are running $1M below budget and $500K below the prior year — reflecting both vacancies and genuine labor cost discipline. [Board Meeting ~1:51:10–2:00:58]
- **Christine Martinez continues to earn broad community confidence.** A retired CIA-trained chef (Jay Bryce Whittley) spoke at length about her qualifications, leadership hires, and operational approach, stating: "I can promise you... find me another restaurant in this type of community that has that leadership. I think you'd be hard-pressed." The August 27 opening date is supported by a detailed five-phase timeline that Martinez walked through with professionalism and transparency. [Town Hall ~11:01–22:44, ~1:13:42–1:16:36]
- **Phil Brenner's sewer infrastructure questions were specific, informed, and well-sourced.** His systematic walk through the consent order status, tank remediation progress, overflow implications, and TDEC thresholds exemplifies the kind of community engagement that improves governance. Matt Benoit's responses — including that tank remediation is in the Coyatee neighborhood and expected to conclude this summer, that the consent order was personally signed by Lackey, and that no pump station is

approaching the five-overflow threshold — were direct and useful. [Town Hall ~1:33:36–1:43:53]

- **The board appears willing to delay TBOUR jurisdictional transfer to January 1, 2027.** This is a significant and sensible decision. Claude Thorn confirmed he asked the board to consider delaying, attorney Kevin Stevens confirmed no time limitation exists in the legislation, and Lackey stated: "That's the hope of your board." Ed Grollemond's explanation of the operational complexity — separate payrolls, insurance allocations, maintenance contracts, asset assignments — demonstrates genuine understanding of the implementation challenge. [Board Meeting ~1:21:02–1:25:28]
- **The balanced scorecard continues to produce useful, department-level data.** Property owner survey results broken into four quadrants (infrastructure 80%, amenities 86%, fees/costs 71.6%, operations 75%) provide actionable baselines. The verbatim analysis identifying restaurant improvements as the top community priority aligns with the board's F&B investment strategy. [Board Meeting ~1:42:52–1:50:38]
- **Joel Reed withdrew his food and beverage tax motion in favor of benchmarking.** Rather than micromanaging drink pricing, Reed asked Claude Thorn to evaluate F&B value from a resident perspective — including whether villagers should receive pricing benefits that non-residents do not. This is the kind of self-correction that improves governance. [Board Meeting ~2:36:08–2:44:14]

CONCERN 1: LIBERTY TREE MARKERS — NO APPROVAL PROCESS, NO POLICY, NO RESOLUTION

1a. The Facts Are Now Clear: The Tree Was Approved; The Markers Were Not

Board member Carey Brown read from email correspondence showing that Kimberly Brown requested and received approval from Matt Benoit to plant a tree and install a "community comrade plaque." However, as Brown then noted: "Matt answering a help spot indicated he knew about the tree, but he never knew about the plaques." [Board Meeting ~2:25:39–2:27:27]

David Egan presented TRDA correspondence showing that Brian Hall's approval was specifically for "a small sugar maple just in front of the art club" — with no mention of granite markers. Holly Hopper's subsequent inquiry to TRDA confirmed: "The historical markers were not discussed in the conversation." [Board Meeting ~1:08:48–1:12:14]

1b. Attorney Stevens Clarified ACC Scope — But Created a Policy Vacuum

Stevens provided a careful legal analysis distinguishing between "buildings, fences, walls or other structures" (ACC jurisdiction per the Declaration, Article XI) and "markers, monuments, decorations, benches, plaques" (historically approved by the board on a case-by-case basis with no formal policy). He confirmed the ACC does have jurisdiction over common property but

stated its authority is limited to structures, not decorative elements. [Board Meeting ~1:04:55–1:08:10]

When Ed Grollemond asked: "If the ACC isn't the governing body for this stuff, who is?" — the answer was effectively: the board, with no written policy. Stevens confirmed: "No, there's no specific policy relative to plaques, memorials, markers, etc." [Board Meeting ~2:24:06–2:24:15]

1c. The Board Approved the Markers 5-2 Without Resolving the Process Failure

The motion — to accept "a Liberty Tree... and two plaques providing the history and meaning of the Liberty Tree" — passed 5-2. Carla Johnson voted yes on the tree, no on the monuments (which the motion bundled together, preventing a split vote). [Board Meeting ~2:21:51–2:27:50]

Multiple residents made substantive points: the markers resemble gravestones (Joann Kaczmarek, Pat Ezell, Tom Farrell, Ted Mayor, Linda Garza); the donor recognition is disproportionately prominent compared to the memorial itself (Tom Farrell); individual memorials at the Yacht Club entrance create a precedent that will be difficult to manage (Pat Ezell, Linda Garza); and the approval process was at best incomplete (David Egan).

1d. Assessment

The board voted to ratify a fait accompli rather than address the process failure. Lackey acknowledged: "Maybe we ought to put one together and get the ACC to do it" — referring to a memorial/marker policy — but added: "I don't think that needs to be a board directive yet." [Board Meeting ~2:25:12–2:25:22] This leaves the POA with no written policy governing memorials on common property, no clear approval authority, and a precedent that has already generated at least four public requests for additional personal memorials. An online question during the board meeting asked: "Will other people be able to add their own monuments?" Lackey's answer: "That'll be a board decision that I may not be here when it's made." [Board Meeting ~1:34:17–1:34:31]

The board should adopt a formal memorial/marker policy before additional installations occur. The absence of one guarantees continued controversy.

CONCERN 2: CEASE-AND-DESIST LETTERS — NO BOARD VOTE, NO POLICY, NO SUBSTANTIVE RESPONSE

2a. Terry Chvisuk's Questions Were Precise and Unanswered

FAC member Terry Chvisuk (speaking in personal capacity) raised four specific questions about cease-and-desist letters sent to residents who distributed the Objective Observer reports:

1. Was the action authorized by a board vote? [Town Hall ~1:26:07]

2. Is there a process for determining when published information warrants legal action? [Town Hall ~1:26:30]

3. Who directed attorney Kevin Stevens to send the letter? [Town Hall ~1:25:51]

4. Can the community handle disagreements about public meeting commentary without legal threats as the first response? [Town Hall ~1:24:23]

Lackey's response to each: "I can't comment on legal steps," "I don't know the particulars," and "that's probably something I should have the counselor define." [Town Hall ~1:25:01–1:25:34]

2b. Scott Brown Extended the Inquiry to Governance Consistency

Brown asked whether the board had a "policy or established governance process that follows before determining that published information warrants legal action such as a cease and desist letter." Lackey's response: "I'm not going to describe it to you. It's a legal process." [Town Hall ~1:31:36–1:31:45]

Brown then raised the consistency question: the board acted against one publication but took no visible corrective action when the $1.65 million water/sewer diversion claim — which Brown's own June 10 audit report found unsupported — was widely circulated. Similarly, Brown asked whether the board had examined "another widely distributed publication" that made "material financial assertions about reserve balances" and the refund decision. Lackey stated: "I don't know the document you're referring to." Brown requested the board take the question down and respond at the next meeting, per the board's own open forum rules. Lackey responded: "I'll consider it." [Town Hall ~1:29:26–1:33:32]

2c. Carla Johnson Called Out the Evasion

At the close of the open forum, Johnson stated: "There were lots of questions asked that we didn't answer... Terry Chvisuk's questions. We didn't answer a lot of questions that were hiding behind 'they're legal proceedings,' and they're not. They're just procedural. They're what this board does. They're how we make decisions. And we've promised transparency. We've promised government in the sunshine. And I don't think that's what we're giving our people today." [Town Hall ~1:48:12–1:49:12]

2d. Assessment

The cease-and-desist letters represent the most significant free speech and governance process concern to emerge since this board took office. The questions are straightforward: Did the board vote to authorize legal action against residents? If not, who authorized it and under what authority? Does the POA have any policy governing when legal threats are appropriate in response to resident commentary on public meetings?

The board's refusal to answer any of these questions — while simultaneously maintaining that the Observer reports contain "false and defamatory" content — creates exactly the "chilling effect" Chvisuk described. Whether the letters have legal merit is a separate question from whether they represent appropriate governance process. The board should, at minimum,

confirm whether a board vote occurred and commit to developing a written policy before any further legal communications are sent to residents regarding public meeting commentary.

CONCERN 3: ADVISORY COMMITTEE BYPASS — EIGHTH CONSECUTIVE MONTH

3a. C2RL Engineering Approved Without PSAC or FAC Review

Ed Grollemond asked directly: "This didn't go through PAC or the FAC because I attended the FAC and it wasn't on a PAC agenda. Can we explain why?" [Board Meeting ~53:59–54:09]

Lackey's response cited speed, value, and simplicity: "We're just trying to get the best service for the Kahitians that we can as quickly as we can at the best value... we have a tendency sometimes to overthink the simple." He then stated: "We tried to engage C2RL through PSAC. They weren't interested. They wanted to go with a much larger firm for a very small project." [Board Meeting ~54:16–55:32]

A resident from the audience (George Latril) had flagged this at the town hall via an online statement: "PSAC has not made any recommendation on this." [Town Hall ~59:54–1:00:06]

3b. The Pattern Is Now Eight Months Long

- **December 2025:** FSAC recommendations overridden wholesale.
- **January 2026:** Committee chair nominated by board liaison.
- **February 2026:** Ad hoc committees populated without disclosure.
- **March 2026:** FSAC sub-committee chair selected by board liaison.
- **April 2026:** PSAC's 5-2 CTI recommendation rejected.
- **May 2026:** C2RL task order issued without PSAC/FAC review.
- **June 2026:** $5.6M reserve transfer and WSIAF refund passed without FAC/Audit review; FAC chair resigned.
- **July 2026:** C2RL engineering vote approved without PSAC or FAC review.

3c. Assessment

The board's stated rationale has evolved from "contract negotiations" (May) to "we tried PSAC and they weren't interested" (July). The factual claim that PSAC "wasn't interested" in C2RL contradicts the April record, where PSAC voted 5-2 for CTI over C2RL — a deliberate committee judgment the board rejected, not a case of committee disinterest.

The C2RL proposal may well be the right engineering solution for Kahite. The $428,000 estimate versus the prior $5M TAP figure is a dramatic and potentially genuine cost reduction. But the question is not whether C2RL is competent — Richard Yarborough's presentation

suggests they are. The question is whether advisory committees serve any meaningful function when the board routinely bypasses them on the matters they exist to review.

CONCERN 4: FINANCIAL CLAIMS REQUIRE CAREFUL CONTEXTUALIZATION

4a. The "$4.5 Million Savings" Comparison

Joel Reed presented the Kahite pump station project as "$4.5 million less than the original $5 million" TAP estimate, and the board repeatedly cited this figure. [Board Meeting ~2:29:04–2:30:14] Lackey stated at the town hall: "The Kahite pump station went from 5 million bucks with a poop tank at the end of your range to 500,000 and no poop tank." [Town Hall ~48:00–48:13]

This comparison requires context. The original $5M TAP estimate for Kahite (per the reference document water_sewer_issues_and_TAP_proposals_2024.txt) included: replacing the undersized 6-inch force main with 8-inch pipe (estimated at $7.1M, which was reduced to a $2.75M storage alternative), plus full pump station upgrades. C2RL's $428,000 proposal specifically does not include force main replacement — Yarborough explicitly stated: "We limited the scope of this to look at what will that force main take" and recommended pumping to only 350 GPM "because that force main is 30 years old... it scares us." [Board Meeting ~31:44–32:49]

The two proposals are not equivalent in scope. The TAP proposal addressed force main capacity; C2RL's proposal works within the existing force main's limitations. Both approaches may be defensible, but comparing their costs without acknowledging the scope difference is misleading.

4b. Revenue Growth Comparison

Lackey stated: "In 2019 we had $20.9 million in revenues... last year's income was $48.9 million." [Board Meeting ~1:37:00–1:37:18] This is factually accurate per the reference documents (2019 total revenues: $20,888,057 per audited financials; the 2025 audit figure appears to include items not directly comparable to 2019 — including in-house food service revenue that was previously outsourced, WSIAF collections, and higher utility rates).

The growth is real but substantially driven by structural changes (food service internalization added ~$5M in both revenue and expense starting 2024 per 990 filings), rate increases (water rates increased 65% per Reed's own statement), and new fee categories (WSIAF). It is not primarily a story of organic revenue growth.

CONCERN 5: TBOUR IMPLEMENTATION — GASB QUESTION MAY BE MOOT

At the board meeting, Lackey disclosed: "We heard today that we may not be covered by GASB." [Board Meeting ~1:25:55–1:26:04] This is a potentially significant development. If the POA is not required to adopt Governmental Accounting Standards Board (GASB) accounting — which imposes depreciation-based rate requirements fundamentally different from GAAP nonprofit reporting — the financial impact of TBOUR regulation may be materially less onerous than Henry Walker described at the May town hall.

CFO Bedford noted that auditor C&J "they're a very large utility auditor in the area and they are our CPAs, so they're very knowledgeable about utility districts." [Board Meeting ~1:26:11–1:26:20]

The board should obtain and publicly share a definitive written opinion on whether GASB applies to the POA under the TBOUR framework. This was identified as an open question at the May town hall and remains unresolved.

CONCERN 6: PARKS & RECREATION DIRECTOR VACANCY — STILL UNFILLED, STRUCTURE UNDEFINED

Claude Thorn disclosed that the Director of Parks and Recreation position remains unfilled and the organizational structure is still being evaluated: "Is there a definitive 100% we're not going to hire Simon? No, there's not a definitive that we might not rehire that. But we don't know what our structure there needs to be yet." [Board Meeting ~2:43:58–2:44:14]

This vacancy has been open since late May 2026. The dehumidifier capital request — presented by Matt Benoit rather than a Parks & Recreation director — and the declining QR survey response rates in Parks & Rec (the only department trending downward in customer satisfaction) suggest operational impact from the leadership gap.

CROSS-REFERENCE: STATUS OF OPEN ITEMS FROM PRIOR REPORTS

- **Troon/IEL contract cost:** Lackey disclosed a range of $400,000 to $600,000 in June. NO FURTHER UPDATE this month. The "30% savings" claim remains unverifiable without the actual contract figure.
- **$2M federal grant:** Bedford stated at the town hall: "We've received $700-800K" and Lackey confirmed the grant is being actively pursued. [Town Hall ~47:44–48:00] SUBSTANTIALLY RESOLVED per prior reports; continued progress.

- **Kahite lift station engineering:** RESOLVED in substance. C2RL engineering approved 7-0 at $43,300 for design plus bidding services, with estimated construction of ~$385,000. The prior Jacobs Engineering contract status was not mentioned. PSAC and FAC were again bypassed.
- **Standard process for committee appointments:** NO UPDATE. Assigned to nominating committee January 2026.
- **Parks & Rec unauthorized use:** NO UPDATE. No cost recovery plan presented. Director position remains vacant.
- **Reserve study errors:** NO UPDATE. No formal community communication.
- **Communications Advisory Committee:** NO UPDATE. Eliminated in December with no explanation or follow-up.
- **RFI/selection criteria disclosure:** NO UPDATE. Taylor's March commitment to share selection rationale remains unmet.
- **Key position vacated — Director of Parks and Recreation:** STILL OPEN. Thorn indicated the organizational structure is still being evaluated. [Board Meeting ~2:43:58–2:44:14]
- **FAC Chair vacancy:** NO UPDATE. Doug Sloan resigned in June. No replacement announced.
- **TVN broadcast cancellation policy:** NO UPDATE. No written policy developed or presented despite commitment in June.
- **Water/sewer rate study:** PARTIALLY RESOLVED. Lackey confirmed engagement with ratestudies.com and TAUD. He also disclosed the possible inapplicability of GASB, which could significantly change the rate study's parameters. [Board Meeting ~1:25:42–1:26:20]
- **WSIAF refund process:** SUBSTANTIALLY RESOLVED. Claude Thorn presented a comprehensive plan with dedicated bank account, processing timeline, unclaimed funds compliance, and waiver mechanism. Remaining questions: no estimated administrative cost (Thorn: "I don't know... I expect it today" referring to a vendor quote), and the funding source was questioned by Carla Johnson but confirmed by Taylor and Thorn as covered by existing board motions. [Town Hall ~31:40–58:39]
- **Pre-meeting invocation practice:** NO UPDATE.
- **Cease-and-desist letters to residents:** STILL OPEN. No board vote confirmed. No policy identified. No substantive response to Chvisuk's or Brown's questions. Carla Johnson publicly criticized the board's non-response. [Town Hall ~1:22:02–1:49:12]

NEWLY IDENTIFIED ITEMS

- **No memorial/marker policy exists.** The Liberty Tree vote was a ratification without policy framework. Stevens confirmed no written policy governs memorials, plaques, or

markers on common property. Multiple residents have already requested personal memorials. The board acknowledged the need for a policy but declined to make it a formal directive. [Board Meeting ~2:24:06–2:25:22]

- **Residential tank replacement program recommended but undefined.** C2RL recommended replacing all 750- and 1,000-gallon residential sewer tanks over approximately 10 years. No cost estimate per unit has been provided. Who pays — the POA or the homeowner — is "yet to be determined" per Lackey. [Board Meeting ~58:37–59:05] This has significant financial implications for either party.
- **Salary position hiring authority centralized through IEL.** The board voted 7-0 that "all salary positions for hire and salaries must be reviewed by the compensation committee and approved by the interim executive leader through the end of 2026." [Board Meeting ~2:34:53–2:35:54] Per the bylaws (Article V, Section 10), hiring authority is vested in the General Manager. Since the IEL is not formally the GM, this motion effectively creates a hiring approval process outside the standard bylaw framework — though Thorn functionally fills the GM role.
- **QR code survey response rates are declining.** Monthly responses dropped from 210 to 178 to 144 over the last three months. [Board Meeting ~1:48:19–1:48:34] The property owner survey response rate remains at approximately 17%. Both trends warrant strategic attention before the 2027 budget cycle.
- **TBOUR jurisdictional transfer likely delayed to January 1, 2027.** Board confirmed no time limitation exists in the legislation and expressed preference for a January 1 effective date to align with fiscal year. [Board Meeting ~1:22:58–1:25:28]
- **Carla Johnson was cut off at adjournment.** Johnson attempted to speak as the board moved to adjourn: "Mr. President, I'm sorry. Mr. President, Mr. Brown to add to Edge—" Lackey called the vote: "All in favor." Johnson: "Can you guys hear me? Hello." Lackey: "Bye Carla." [Board Meeting ~2:48:39–2:48:48] Whether intentional or the result of connectivity issues, cutting off a board member during adjournment is a procedural concern.

CONCLUSION

July 2026 delivered genuine operational progress — the C2RL Kahite solution appears sound, the audit is clean, the WSIAF refund plan is comprehensive, financial performance remains exceptional, and the Tanasi restaurant opening timeline is credible. These are real accomplishments that reflect well on both staff and board.

But the meeting also crystallized two governance failures that the board has not addressed and shows no inclination to address. First, the cease-and-desist letters represent the board (or someone acting in its name) using POA resources and legal authority to threaten residents who commented on public meetings — without a board vote, without a written policy, and without any willingness to answer straightforward questions about the process. Second, the advisory committee bypass is now an eight-month pattern that has cost the POA two FAC chairs and is

eroding the volunteer governance structure that distinguishes Tellico Village from a commercially managed community.

The board's substantive achievements are real. Its procedural failures are also real. A board that delivers $4.5 million in infrastructure savings while simultaneously threatening residents with legal action for discussing public meetings has not reconciled its reform identity with its governance practices.

Community members should watch for the following at the August meetings:

- Whether the board formally responds to the cease-and-desist questions raised by Chvisuk, Brown, and Johnson — including whether a board vote authorized the letters and what policy governs such actions.
- Whether a memorial/marker policy is developed before additional installations are requested — multiple requests are already on record.
- Whether the residential tank replacement program produces a cost estimate, a funding determination (POA vs. homeowner), and a timeline.
- Whether the FAC chair vacancy is filled and whether additional FAC resignations occur.
- Whether the GASB applicability question is definitively resolved, which would materially affect the TBOUR rate study parameters.
- Whether the Tanasi Waterfront Dining opening on August 27 proceeds on schedule and meets quality standards.
- Whether the TBOUR jurisdictional transfer is formally scheduled for January 1, 2027, and whether county mayor signatures are obtained on schedule.
- Whether a written TVN access/content policy is presented — now two months overdue from the June commitment.
- Whether the QR code survey decline is addressed with a revised engagement strategy before the 2027 budget cycle.
- Whether the board responds to Scott Brown's request to apply consistent standards to financial claims made in public forums — as Brown stated, under the board's own open forum rules.

This report covers the July 13, 2026 Town Hall and July 15, 2026 Board Meeting. Previous reports in this series cover December 2025 through June 2026.